

JPM | China Tech & APAC Internet - China AI Application Forum takeaways, Trip.com results, Update on PCB

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China AI Application Forum takeaways: demand isn't the debate, economics are. After a day with BABA, Zhipu, JD, SenseTime, Xunce and Phancy, the message was clear: no one is slowing, and regulation is being framed as an enabler. The near-term bottleneck is still compute (model players tethered to CSPs), but longer-term pricing power should follow SOTA model capability. Capex is accepted; ROIC math isn't. The next unlock is open-source revenue share (likely by year-end), adding a new ARR lever for top-tier models and a modest netting small headwind for CSP cloud revenue.

Trip.com results: the take-rate reset was already underway. Shorts pressed into Q2 on fears of a 3Q commission cut. The print pushed the domestic hotel monetization reset out to 4Q26-1Q27 - later and ultimately deeper than Alex expected. Alex stays overweight on 2027 earnings normalization, buybacks, and international growth should cushion the transition.

Regional read through on AI infra and China PCB... Investors agree with Gokul that spend isn't slowing, yet 60-80% inference GPM doesn't settle sustainability once you layer in full-stack cost. On optics, NPO remains the cleanest 2-year bridge; CPO is the endgame but needs supply-chain maturity, with FCC overhang capping large-cap A-shares. Our regional team put out updates on ISU Petasys (agnostic to PTFE/Q-glass debate, multilam share stabilized, and HDI upside) and TriPod (general purpose strength, name screens under-owned). For China, FR4 strength looks stickier as supply shifts to AI; 2H margin upside skews to less-AI-exposed makers, with ABF readiness concentrated.

Happening today...

- (12pm HKT) Alex Yao + Olivia Xu Group Marketing
- (8pm HKT) JPM Let's Zoom Out: Global TMT Spec Feedback & Ideas ([register](#))

This Week's HKCN Tech & Internet Events and JPM NDRs

Date	Events	JPM NDR/Analyst Calls
9/17	-	Alex Yao + Olivia Xu: China Internet Marketing - pls ask JPM Let's Zoom Out: Global TMT Spec Feedback & Ideas (register)
9/18	-	

Use the links below to jump straight to each section:

Detailed Highlights

Sector Key Newsflow

Full Research Link

Save the Dates: J.P. Morgan Technology Events

Catalyst Calendar (Full Version)

Detailed Highlights

KEY TAKES FROM CHINA AI APPLICATION FORUM

We spent a full day at the China AI Application forum meeting BABA, Zhipu, JD, SenseTime, Xunce, and Phancy. I'll leave the company-by-company details to Alex and Olivia, but the big message coming out was consistent: nobody is slowing down, and the pushback from investors is still on the economics and sustainability of the monetization mechanics.

- **Pacing of AI growth:** no one is slowing down, and regulation is being framed more as an enabling framework than a constraint. Near-term, the bottleneck is still compute, which effectively pins model companies to the cloud vendors; longer-term, participants argue the real pricing power should sit with model capability (i.e., whoever is state-of-the-art).
- **Capex / ROIC:** capex is broadly accepted as “necessary,” and people will say ROIC can be justified — but the amount of time spent debating what a “correct” ROIC calculation even is was telling. The granularity of the debate suggests investors are not fully convinced on sustainability.
- **Open-source model monetization (revenue share):** top-tier domestic open-source model providers are in discussions with CSPs to implement revenue share, with details likely formalizing by end of year. For now, revenue generated on CSP’s platforms is booked entirely as CSP’s cloud service revenue, while model company’s ARR is effectively limited to direct API sales. If/when revenue share starts, model companies get an incremental ARR lever even at unchanged demand; CSP-reported cloud revenue could modestly decelerate because it would be recognized net. The broader read-through is constructive for rolling revenue-share structures across other platforms too — but not every open-source model will have leverage; pricing power likely accrues only to models that are clearly SOTA.

TRIP.COM RESULTS QUICK TAKE

We picked up some incremental short interest into Trip.com’s Q2 print on fears of a 3Q commission-rate cut. The disconnect is that the market seems to be anchoring on a 10–15% “headline” take rate cut, while Trip.com’s effective 2025 group commission was already closer to ~9% - so a lot of the feared reset is arguably already in the run-rate. At the print, the 3Q outlook effectively pushed the domestic hotel monetization reset out to 4Q26-1Q27 - later, and ultimately deeper, than Alex had expected. He remains overweight on the setup: earnings normalization into 2027, ongoing buybacks, and international growth should help cushion the transition.

Read Alex’s full take here: [Trip.com \(TCOM US 9961 HK\) Hotel reset lasts longer, but the market overstates the downside](#)

REGIONAL READ-THROUGHS: FEEDBACK ON AI INFRA NOTE / PCB PREFERENCE

Feedback to Gokul’s AI infra note is broadly aligned - no one is slowing on spending, but the cloud margin story doesn’t fully solve the sustainability concern. Yes, inference-level GPM can screen at 60-80%, but once you include the cost to get to that inference layer (and the added localization burden for China’s domestic supply chain), it’s still fair to ask whether the unit economics really clear. Investors also pushed for a more details on the optics names and the implications for China-listed optics names. Gokul continues to favor NPO over the next ~2 years as the most straightforward answer to the interconnect bottleneck; CPO still looks like the long-term endgame, but likely needs more time for the supply chain to mature (especially around scaled, manufacturable deployments). **For A-share investors**, feedback keeps circling back to the same constraint: large-cap optics names are unlikely to revisit previous peak with FCC overhang. That said, positioning is still crowded and near-term earnings visibility makes it hard to leave the sector - so preferences are shifting upstream in the supply chain. China Tech team trip next Tuesday, visiting **Everbright Photonics** and **Semight**, with takeaways to follow post-tour.

Gokul and team’s full report here in case you missed it- [Asia Tech Strategy: At a crossroads in the AI Infra trade](#)

For China PCB, we continue to like CCL (Kingboard in the near term, and SYT for higher-end exposure despite a full valuation), and select tier-2 PCB names where valuation still screens well. Post-2Q results, the bigger surprise was that non-AI CCL cost pass-through was better than expected - not because end-demand (consumer/auto/home appliances) improved, but because supply has been *selectively* diverted from conventional PCB to AI, and end customers are behaving price-insensitive. The implication is that historically high FR4 pricing may prove more durable than feared, with 2H margin upside skewing to PCB makers with less direct AI exposure. Separately, ABF keeps coming up: on the FC-BGA side, Shennan and FastPrint are the only two with production lines that look ready to go; on substrate materials it’s Shengyi and Wazam; and on substrate equipment it’s Fabology. Two regional read-through from Sangsik and Jerry:

- **ISU Petasys:** Sangsik raised TP to KRW165,000 from KRW107,500 on (i) successful pass-through of higher CCL costs, (ii) stabilizing share, and (iii) higher leverage to “Zebrafish.” He also sees a 3Q beat with margin improvement, an HDI fab announcement by year-end, and stabilizing share as the key catalysts. **My take:** it’s hard to see investors pricing in meaningful incremental growth from a Google HDI ramp when the earliest contribution looks like 2028, and incumbents (VGT/Unimicron/ZDT) have repeatedly proven level-7 HDI execution at Nvidia. Also VGT in particular is known for very ample capacity - ISU’s historical capacity adds have been more reactive, it has ceded first-mover advantage before, and it lacks a

long track record in mass-producing high-spec HDI - so upside likely needs visible qualification / order signals to get paid. One nuance I do like: the story is agnostic to PTFE vs Q-glass, since its key ASIC/networking switch customers are largely on M8/M9 CCL.

- **TriPod:** 3Q revenue is now tracking +21% QoQ vs +14% QoQ previously (their strongest quarterly growth), driven by general purpose server and DRAM pull-in (potentially shifting from regular PCB toward HDI). They're pointing to continued demand-density growth momentum into 4Q with improving order visibility, and competitor GCE is transitioning mix from GPS to AI server with 30%+ GPM, broadly in-line with AI server economics. The stock still feels overlooked because it's not perceived as a "pure-play AI" winner, but layer counts are moving from 14/16L to 20/24L CPU tray motherboards for CSPs, and they're now engaging Google directly. **Valuation is ~12x 2027E, with ~23% YoY top-line growth in 2027** and meaningfully lower capex needs than peers. **My read: similar setup to Delton (001389 CH / 1989 HK) — conservative messaging, but steady growth that shows up through existing server ODM orders; the only real pushback is limited liquidity.**

Sector Key Newsflow

- **Huawei** forecasts billions of agents will dominate AI traffic by 2035 ([Reuters](#))
- **Bessent says US open to discussing shared AI risks** with China, Axios reports ([Reuters](#))
- **South Korea** Can't Afford to Slow AI Progress, Deputy PM Says ([Bloomberg](#))
- **Samsung** reportedly weighs Micron's newest memory for Galaxy S27 ([Digitimes](#))
- **CPO ramp** pushes silicon photonics testing upstream to catch defects early ([Digitimes](#))
- **Meta** globally rolls out Meta One subscription, tops 15 million sign-ups ([Digitimes](#))
- **Apple** weighs Nvidia technology for potential server market return, The Information reports ([Reuters](#))
- **OpenAI's** rogue agents probed Hugging Face for weaknesses two months before major hack ([Reuters](#))
- **Anthropic** to fold Claude AI features into one interface, launches document tools ([Reuters](#))
- **Microsoft AI chief** calls out Anthropic's approach to AI consciousness (Reuters)
- **DeepMind** co-founder warns AI capabilities must not outrun safety controls, FT reports ([Reuters](#))

Full Research Link

Sector Note:

- **China Ecommerce:** Aug-26 Online Sales: Continue to outgrow a soft headline- Alex Yao ([Link](#))

Company Note:

- **Transsion Holdings - A (688036 CH):** Suspension of rating, price target and estimates- Cherry Liu ([Link](#))
- **Tripod Technology Corp (3044 TT):** Bright outlook continues to improve; attractive valuation of 12x on 27e- Jerry Tsai ([Link](#))

Save the Dates: J.P. Morgan Technology Events

Analyst Meetings & JPM Webinars

Title	Speaker / Sector Coverage	Format	Date/Time (HKT)	Registration
Stanley Yang	Korea TMT	Singapore	17-18 (Thu-Fri)	Please Ask
Alex Yao + Olivia Xu	China Internet	Hong Kong	Sep-17 (Thu)	Please Ask
Ankur Rudra + Bhavik Mehta	India TMT & Indian IT Services, EMS, Internet and Telecom	Singapore	Sep-28-30 (Mon-Wed)	Please Ask
Deep Dive on Q3 Bandai Namco & Recruit	Junko Yamamura (Games / Internet / Services)	Virtual	Sep-29 (Tue) 06:00 HKT	Register Here
Jay Kwon	Korea Tech	Singapore; KL; Hong Kong	Sep-29-Oct-1 (Tue-Thu); 2 (Fri); 5-9 (Mon-Thu)	Please Ask
CORE STOCK CALL 10/5 Japanese - Japanese	09:20 ~ 09:40 Junya Ayada (Consumer/ Industrial Electronics), 09:40 ~ 10:00 Akinori Kanemoto (Electronic Components), 10:00 ~ 10:20 Mio Shikanai (Technical Materials/ Semiconductor)	Virtual	Oct-05 (Mon) 08:00 HKT	Register Here
CORE STOCK CALL 10/5 English	10:20 ~ 10:40 Junya Ayada (Consumer/ Industrial Electronics), 10:40 ~ 11:00 Akinori Kanemoto (Electronic Components), 11:00 ~ 11:20 Mio Shikanai (Technical Materials/ Semiconductor)	Virtual	Oct-05 (Mon) 09:00 HKT	Register Here
CORE STOCK CALL 10/6 Japanese - Japanese	10:20 ~ 10:40 Matthew Henderson (IT Services & Telecoms)	Virtual	Oct-06 (Tue) 08:00 HKT	Register Here
CORE STOCK CALL 10/6 English	11:00 ~ 11:20 Matthew Henderson (IT Services & Telecoms)	Virtual	Oct-06 (Tue) 09:00 HKT	Register Here

Analyst Meetings & JPM Webinars

Title	Speaker / Sector Coverage	Format	Date/Time (HKT)	Registration
China Memory Industry Update: A Closer Lens at the NAND Market	Mr. Tian, China Memory Expert	Virtual	Sep-22 (Tue) 16:00 HKT	Register Here

Corporate Access

Title	Speaker	Format	Date/Time (HKT)	Registration
Shandong Sinocera (300285 CH)	Secretary of Board, Securities affairs rep	Hong Kong	Sep-22 (Tue) 12:30 HKT	Register Here
Micron Technology (MU US)	TBC	Virtual	Oct-6 (Tue) 8:00 HKT	Register Here
Salesforce Inc (CRM US)	IR	Virtual	Oct-13 (Tue) 8:00 HKT	Register Here

Conferences & Tours

Title	Format	Date/Time (HKT)
India Conference	Mumbai	Sep-21-22 (Mon-Tue)
India TMT Tour	Mumbai, Bangalore	Sep 23-25 (Wed- Fri)
Taiwan PCB Tech Tour	Taipei	Oct-21 (Wed)
APAC Technology, Innovation and Growth Conference (TIG)	Hong Kong	Nov-16-18 (Mon-Wed)
Japan Markets Forum (Save the date)	Four Seasons Hotel Tokyo Otemachi	Dec-01 (Tue)
Thailand Forum	Bangkok	Jan-21-22 (Thu-Fri)

Catalyst Calendar (All in HKT)

Date	APAC Internet	China Semi & Hardware	Others
9/14			
9/15	MiniMax Group Inc - H EGM (14:00)	Circuit Fabolo-A EGM (14:00)	
9/16	Trip.com Group Ltd 2Q26 (Bef-mkt)	Dawning Inform-A EGM (14:00) Luxshare Preci-A EGM (15:00)	
9/17			
9/18		Victory Giant -A EGM (14:30)	

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